ZLOG CLASS OF 2027
MZ 530
Finance for Supply Chain Management

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Office Hours: By appointment

Course Description

Financial Systems bridges the worlds of supply chain management and corporate finance, equipping students with the tools and language to assess and communicate the financial impact of supply chain decisions. Designed for future supply chain leaders, the course develops the ability to connect operational choices to a company's financial health, strategic goals, and societal responsibilities.

Through a combination of lectures, real-world business cases, and data-rich exercises from manufacturing, distribution, and retail contexts, students learn how to translate between financial and operational perspectives. Key topics include financial statement analysis, performance measurement, working capital management, investment valuation, cost accounting, and the financial trade-offs embedded in supply chain design.

By the end of the course, students will be able to evaluate supply chain initiatives in terms of shareholder value, stakeholder impact, and operational feasibility, making them more effective decision-makers in cross-functional business environments.

Attendance

It is assumed that students will attend all sessions. When absence is unavoidable, both the instructor and the program director should be notified in advance.

Evaluation

The final grade is made of three parts: homework (50%), class participation (20%), case writeups (30%).

Homework assignments: There will be several homework assignments (case writeups) –both group and individual ones– on the following themes:

1. Financial reporting and accounting for inventory
2. Performance evaluation and ratios analysis
3. Investment valuation
4. Contribution margin
5. Case studies: selected questions

Class Participation: Students are expected to prepare all the pre-assigned readings and be active and effective participants during the class. Class participation will be determined on the basis of your comments and questions in each class session. Particularly during case studies, it is essential that you come to class prepared to share your insights and analysis with others, including being ready to open the case assigned for that day. Students will be evaluated on the quality (not the quantity) of the contributions. The criteria used to judge effective participation includes:

1. Is the participant a good listener and open to evaluating opposing perspectives in a constructive manner?
2. Are the points made relevant to the current discussion? Are they linked to the comments of others?
3. Do the comments demonstrate appropriate and insightful analysis of case data? Do they present a clear statement of the selected concepts and issues?
4. Does the participant integrate concepts from prior classes and assigned readings into current discussion where possible?

Textbook

- Serrano, Alejandro and Lekkakos, Spyros D.: “Practical Finance for Operations and Supply Chain Management”. MIT Press, 2020.

Other References

1. Karen Berman, Joe Knight, and John Case: “Financial Intelligence: A Manager's Guide to Knowing What the Numbers Really Mean”. Harvard Business School Press, 2006.
2. Brealey, Myers and Allen: “Principles of Corporate Finance”. 8th ed. McGraw- Hill Irwin, 2005.
3. Northcott D: “Capital Investment Decision-Making”. International Thomson Business Press, 1992.
4. Robert C. Higgins: “Analysis for Financial Management”, 10th Ed. McGraw-Hill Education, 2011.

Schedule

Session	Topic	Date	Time	Details	Reading
01	Introduction	Sep 8th	10:30-12:00	Introduction & review of Financial Statements	Ch.1-7 (exc. Ch.5)
02-04	Financial Accounting	Sep 11th	08:30-10:00 10:30-12:00 12:15-13:45	In-class exercises	Ch.1-7 (exc. Ch.5)
05	Accounting for Inventory	Sep 22nd	08:30-10:00	Inventory valuation methods	Ch.8
06	Activity-based Cost Systems	Sep 24th	08:30-10:00	Case study: “Dakota Office Products”	Ch.8
07	Performance Ratios	Sep 29th	08:30-10:00	Financial and inventory related ratios	Ch.9
08	Ratios Analysis	Oct 1st	08:30-10:15	Financial analysis of fast-fashion firms	
09	Growth Strategy	Oct 6th	08:30-10:00	Case Study: “Amazon 2018”	Ch.5
10	Financial Planning	Oct 14th	08:30-10:00	Case Study: “Wilson Lumber Company”	Ch.10
11	Investment Valuation	Oct 15th	08:30-10:00	NPV, IRR and other existing methods	Ch.12
12	Net Present Value	Oct 20th	08:30-10:00	Case Study: “Ocean Carriers”	
13	Cost of Capital	Oct 22nd	08:30-10:00	Investment risk and WACC	Ch.13
14	Assessing Operations as Investor	Oct 27th	08:30-10:00	Case Study: “David Berman”	
15	Financial vs. Operational Models	Oct 29th	08:30-10:00	Case Study: “Roche: The Investment Valuation Dilemma”	
16	Cost Accounting I	Nov 3rd	08:30-10:00	Case Study: “Prestige Telephone Company”	Ch.11
17	Cost Accounting & Production Decisions	Nov 5th	08:30-10:00	In-class Exercise	
18	Cost Accounting II	Nov 10th	08:30-10:00	Case Study: “Hilton Manufacturing Co”	
19-20	Operational vs. financial trade-offs	Nov 17th	08:30-12:00	HBP Working Capital Simulation Game	Ch.15
21	Financials in the value chain	Nov 19th	08:30-10:15	Wrap-up	

Case Questions and Supporting Material

Session 6: "Dakota Office Products" (HBS 9-102-021)

To prepare before the session: Case study questions

1. Develop an activity-based cost system for Dakota Office Products (DOP) based on Year 2000 data. Feel free to use charts or diagrams to describe it. Calculate the activity cost-driver rate for each DOP activity in 2000.
2. Using your answer to Question 1, calculate the profitability of Customer A and Customer B.
3. What explains any difference in profitability between the two customers? What are the limitations, if any, to the estimates of the profitability of the two customers?
4. Suppose that a major customer switched from placing all its orders manually to placing all its orders over the internet site. How should this affect the activity cost drivers' rates calculated in Question 1? How would the switch affect Dakota's profitability?
5. Assume that Dakota applies the analysis done in Question 2 to its entire customer base. How could such information help Dakota managers increase company profits?

To read before the session: "Introduction to Activity Based Costing" by Robert S. Kaplan (HBS 9-197-076).

Session 9: "Amazon 2018" (IESE F-945-E)

To prepare before the session: Case study questions

1. Financial analysis with ratios. What can we say about Amazon's financial situation if we look only at the classic ratios of liquidity (current ratio), leverage, and working capital?
2. P&L and balance sheet analysis
    a. Analyze the income statement. Focus only on the big numbers. Express your opinion, positive and negative points.
    b. Analyze the balance sheet. Focus only on the big numbers (investments made and how they are financed). Express your opinion.
3. Amazon's strategy and its numbers
    a. Business strategy. What is Amazon's strategy? Why do customers buy from them and not from someone else? Base your answer on what is mentioned in the case and on your knowledge of the business.
    b. Financial strategy. Identify the main investments of Amazon and how they are financed.
    c. Calculate the numbers that result from this strategy. Look at the evolution of the value chain and how the ROE is generated.
4. How to analyze a conglomerate. Amazon operates in many businesses and regions. Sometimes it is difficult to fully understand what Amazon really does. Here we propose three simple questions to identify the core business of a conglomerate, Amazon in this case (Use

Tables 1-7 of Exhibit 3).

a. What does Amazon sell? Look at percentages of sales and identify the relevant businesses (products and markets). Are these businesses growing?

b. Where does Amazon make money? Look at the sources of Amazon's sales and profits (which businesses and markets).

c. Are these businesses profitable? Look at the profitability of every business, measured by ROA = EBIT / total assets (EBIT = operating income).

Session 10: "Wilson Lumber Company" (HBS 9-286-122)

To prepare before the session: Case study questions

1. For fiscal year 1984, calculate: sales growth, ROE, Net Margin, Working Capital, Days Receivable, Days Payable, Days Inventory, Leverage, and the following percentages with respect to Sales: CGS, (SGA+D&A), Inventory, Fixed Assets, Interest, Taxes, Total Assets.
2. How would you rate the financial situation of Lumber Company at the end of fiscal year 1984? Why has Mr. Wilson had to borrow additional money? If you were George Dodge, would you lend additional money to Mr. Wilson?
3. Look at Cash in 1984. Is the level of cash reasonable given the risk of the industry?
4. Calculate the ratios in question 1 for 1982, 1983 and first quarter of 1985.
5. How much additional debt will Mr. Wilson need for 1985 & 1986? (make reasonable assumptions here)
6. Prepare the Statement of Cash Flows for 1983, 1984, 1985 (1st quarter)
7. How would you rate the financial situation of Lumber Company? What would you recommend Mr. Wilson?

Session 12: "Ocean Carriers" (HBS 9-202-027)

To prepare before the session: Case study questions

1. What factors drive average daily hire rates? Do you expect daily spot hire rates to increase or decrease next year?
2. Should Ms. Linn purchase the $39M capesize? Ocean Carriers uses a 9% discount rate. Make two different assumptions:
   a. OC is a US firm subject to 35% taxation.
   b. OC is located in Hong Kong, where owners of HK ships are not required to pay any tax on profits made overseas and are also exempted from paying any tax on profit made on cargo uplifted from HK.
3. What do you think of the firm's policy of not operating ships over 15 years old?
4. Finally, consider leasing the vessel for 15 years at an annual lease payment of $4.6M, starting in January 2003. Under the leasing arrangement, the lessor will cover the special

survey expenses (incurred every five years). Based on this information, should Ms. Linn recommend purchasing or leasing the vessel?

Session 14: "David Berman" (HBS 9-605-081)

To prepare before the session: Case study questions

1. What is David Berman's business model? What are its strengths and weaknesses?
2. How, according to Berman, does a retailer's inventory level affect its share price?
3. How does the inventory turnover of Jos. A. Bank compare with that of its main competitor, Men's Wearhouse? To what would you attribute the difference between the two firms?
4. Examine the impact of a $20 Million inventory write-off in the spreadsheet "David Berman Simplified Model.xls" on Jos. A. Bank's market capitalization (You can change the amount of inventory write-off in the worksheet "Key Assumptions"). Similarly, examine the impact of a $30 Million write-off on Jos. A. Bank's market capitalization.
5. How much inventory should Berman expect Jos. A. Bank to write off, if any? What data or analysis could he use to refine his estimate?

Session 15: "Roche: The Investment Decision Dilemma" (IESE P-1171-E)

To prepare before the session: Case study questions

1. Are the calculations on some of the reports incorrect?
2. If the calculations are correct, then which approach is the right one?
3. Is one of the approaches always superior to the others?
4. Are the other approaches inappropriate? If so, what assumptions invalidate those approaches?
5. Alternatively, are some of the approaches just rough approximations?

Session 16: "Prestige Telephone Company" (HBS 9-197-097)

To prepare before the session: Case study questions

1. Appraise the results of operations of Prestige Data Services. Is the subsidiary really a problem to Prestige Telephone Company? Consider carefully the differences between reported costs and cost relevant for decisions that Daniel Rowe is considering.
2. Assuming the firm demand for service will average 205 hours per month, what level of commercial sales of computer use would be necessary to break even each month?
3. Estimate the effect on income of each of the options Rowe has suggested if Bradley estimates as follows:
    a. Increasing the price to commercial customers to $1,000 per hour would reduce demand by 30%

b. Reducing the price to commercial customers to $600 per hour would reduce demand by 30%

c. Increased promotion would increase sales up to 30%. How much can be spent in promotion and still leave Prestige Data Services with no reported loss each month if commercial hours are increased 30%?

d. Reducing operations to 16 hours on weekdays and eight hours on Saturdays would result in a loss of 20% of commercial revenue hours

4. Can you suggest changes in the accounting and reporting system now used for operations of Prestige Data Services which would result in more useful information for Rowe and Bradley?

Session 18: "Hilton Manufacturing Co" (HBS 9-192-063)

To prepare before the session: The four assignment questions at the end of the case.

Conduct

Professional conduct is built upon the idea of mutual respect. Such conduct entails (but is not necessarily limited to):

- Arriving on time. Late arrivals are disruptive to both lectures and class discussion, and show disrespect to those who are on time.
- Minimizing disruptions. Cell phones should be turned off during class. You should avoid engaging in side conversations after class has begun.
- Focusing on the class. While you may take notes on laptops, do not use laptop computers or hand-held devices for other tasks while in class. Activities such as net surfing and answering email are very impolite and disruptive both to neighbors and the class.
- Respect. You should act respectfully toward all class participants.